Honors Intro Micro | Homework 1 Demo

Question 1

Becca can transmogrify 2000 widgets or 3000 wigamas in one day. Set up Becaa's PPF on an x,y graph with pasties on the vertical and cakes on the horizontal. What is Becca's opportunity cost of each good?

Opportunity cost of widgets: ________________

Opportunity cost of wigamas: ________________

Question 2

Suppose Becca transmogrifies 3000 widgets and 2000 wigamas in one day. Is this efficient, feasible, or unattainable? Use a graph or algebra to justify your answer.

Efficient, Feasible, Unattainable: _______________

Question 3

Carole Baskine also transmogrifies widgets and wigamas, up to 10 widgets or 5 wigamas in one day. Set up a production table with both Becca and Carole's output per day. Who has the absolute advantage (AA) in widgets? Then set up an opportunity cost table with Becca and Carole's opportunity costs for each good. Who has the comparative advantage (CA) in widgets?

AA in Widgets: _______________

CA in Widgets: _______________

Question 4

Suppose Becca and Ms. Baskin realize they can specialize and trade goods. After they specialize, what is a trade that would make them both better off?

________ Widgets for _________ Wigamas

Question 5

It turns out Carole B. gets injured by a tiger, and needs to slow down her transmogrification work, and cuts her time in half. Right after, the transmogrify industry goes through a minor revolution and improves the efficiency of generating wigamas by a factor of 2. Show both changes to her PPF.